

AcroTech Dynamics Inc. — Q3 Fiscal 2025 Quarterly Financial & Operations Report

Entity: AcroTech Dynamics Inc. (Enterprise B2B SaaS & AI Automation) | Period: Three Months Ended September 30, 2025

1. Executive Summary & Financial Highlights

Annual Recurring Revenue (ARR) reached \$184.5M (+12.4% YoY), indicating significant deceleration from +22.0% in Q2. Gross margin compressed to 68.4% due to a 38% increase in GPU hosting and model inference expenses, resulting in an operating loss (EBIT) of -\$4.75M and net loss of -\$5.70M.

Key Financial Metric	Q3 Value	YoY Change	Audit Details
ARR	\$184.5M	+12.4% YoY	Decelerated from +22.0% YoY in Q2
GAAP Revenue	\$48.20M	Subscription \$44.1M	Professional services \$4.10M
Gross Margin	68.4%	-580 bps YoY	Compressed from 74.2% via 38% GPU cost surge
Operating Loss (EBIT)	-\$4.75M	Widened YoY	Widened from -\$0.95M in Q3 FY24
Net Loss	-\$5.70M	Incl. \$0.95M interest	Debt service interest drag
Cash & Runway	\$18.60M	3.87 Quarters	Quarterly cash burn at -\$4.80M

2. Debt & Capital Structure Analysis

COVENANT BREACH ALERT: The Senior Secured Term Facility (\$35.0M principal) carries a maximum Debt-to-ARR covenant ratio of 0.2200x. The current ratio is 0.1897x, leaving a safety buffer of just 0.0303x (equivalent to \$5.6M in ARR). Deceleration below \$159.1M triggers immediate loan acceleration.

3. Key Risk Factors for Audit & Authentication

CRITICAL RF-01: Liquidity Runway & Debt Covenant Headroom

Exposure: ARR deceleration below \$159.1M or burn of \$4.8M/qtr triggers covenant breach and insolvency in under 12 months.

Mitigation: Institute discretionary capex freeze, accelerate overdue enterprise collections, and begin debt restructuring.

CRITICAL RF-02: Extreme Key Account Concentration

Exposure: Customer #1 (\$29.9M ARR / 16.2%) loss breaches \$35M senior debt covenant instantaneously.

Mitigation: Establish executive sponsor war-room, offer tailored multi-year SLA discounts, and ringfence key renewal.

HIGH RF-03: Cloud & GPU Infrastructure Single Point of Failure

Exposure: 92% of production workload locked in us-east-1 with >8h RTO failover and model API price exposure.

Mitigation: Architect multi-region active-passive failover and negotiate reserved compute capacity commitments.

HIGH RF-04: Unpatched High-Severity Telemetry Vulnerability

Exposure: Privilege escalation vulnerability in telemetry pipeline risks tenant boundary leakage and compliance fines.

Mitigation: Emergency patch rollout within 48 hours; mandate third-party penetration testing and SOC2 audit re-check.

MEDIUM RF-05: Regulatory Exposure under EU AI Act

Exposure: Autonomous inference pipelines on EU data require Annex III re-classification by mid-2026.

Mitigation: Appoint AI Governance officer and implement EU data isolation architecture before Q1 FY26.

4. Strategic Remediation Milestones

1. Immediate Debt & Capital Protection: Open dialogue with senior lenders to secure covenant waiver / temporary ratio flexibility to 0.250x.
2. Customer #1 Renewal Taskforce: Deploy CEO & CTO led executive sponsorship program before RFP closure in Q1 FY26.
3. GPU Cost Optimization & Cloud Resilience: Implement prompt token caching, dynamic model fallback, and hot secondary failover outside us-east-1.
4. Security & Regulatory Rectification: Patch telemetry privilege escalation CVE and prepare technical documentation for EU AI Act Annex III.